

HOUSE BILL 742

By McKenzie

AN ACT to amend Tennessee Code Annotated, Section 5-14-204; Section 5-14-205 and Section 6-56-305, relative to competitive sealed bids.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 5-14-204(1), is amended by adding the following to the end of the subdivision:

Changes to the amount of the applicable threshold over which public advertisement and sealed competitive bids or proposals are required must be made by resolution of the governing body in accordance with § 12-3-1212.

SECTION 2. Tennessee Code Annotated, Section 5-14-205, is amended by deleting the section and substituting instead:

All purchases, leases, or lease-purchase agreements with expenditures of less than the maximum applicable competitive sealed bid threshold established pursuant to § 12-3-1212 in a fiscal year may be made in the open market without publishing a notice in a newspaper of general circulation. At least three (3) written quotations are required, when possible, for purchases costing less than the bid threshold established under § 12-3-1212(a) or (b), but more than forty percent (40%) of such bid threshold, or some lower amount as may be established by the governing body by resolution.

SECTION 3. Tennessee Code Annotated, Section 6-56-305, is amended by deleting the section and substituting instead:

All purchases, leases, or lease-purchase agreements with expenditures of less than the maximum applicable competitive sealed bid threshold established pursuant to § 12-3-1212 in a fiscal year may be made in the open market without publishing a notice in

a newspaper of general circulation. At least three (3) written quotations are required, when possible, for purchases costing less than the bid threshold established under § 12-3-1212(a) or (b), but more than forty percent (40%) of such bid threshold, or some lower amount as may be established by the governing body in an ordinance.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.